CSIS AUSTRALIA CHAIR

Australia Daily Brief

Friday, October 30, 2026

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RE: Albanese-Chalmers budget rift deepens · Canberra arms Fiji with AI sea drones · Tong blasts PIF-Israel pact · Fiji referendum set for December 9 · Ukraine joins PIF as partner

ASX 200	AUD/USD	NZX 50	NZD/USD
8,908	0.7036	13,797	0.5639
+1.28%	+0.09%	+0.36%	-1.10%

IN THIS ISSUE Top Stories · Overnight · Stat · Pacific · New Zealand · Canberra · Markets · Documents · Upcoming · The Wire

TODAY AT A GLANCE

1. Chalmers has pushed cabinet's expenditure review subcommittee for the lowest-cost option on spending proposals and been overruled at times, the Sydney Morning Herald reports, as Labor heads into a December budget update shadowed by a worsening inflation outlook.
2. Canberra is handing Fiji AI-equipped Bluebottle drones able to patrol for up to six months, after Fiji's defence minister said the country has no eyes on waters used as a transit route for traffickers headed to Australia and New Zealand.
3. Former Kiribati president Anote Tong says the Pacific Islands Forum's partnership with Israel is not morally defensible, as Post Courier reports Ukraine has separately gained sectoral partner status at the Forum.

TOP STORIES

AU-POLITICS

Chalmers' colleagues blunt his push for spending restraint

Treasurer **Jim Chalmers** has often pushed cabinet's expenditure review subcommittee toward the lowest-cost option on spending proposals, and the subcommittee has not always backed him, the Sydney Morning Herald reports. The Australian Financial Review reports tensions between Chalmers and Prime Minister **Anthony Albanese** have been sharpened by a worsening inflation outlook and the government's inability to land the budget, with the December budget update now the test of Labor's appetite for cuts.

per SMH Federal Politics (Paul Sakkal): "'This really is Albo's cabinet': How the PM's razor gang hindered the treasurer's saving plans" · also AFR

PACIFIC-DIPLOMACY

Australia hands Fiji AI sea drones to close a maritime surveillance gap

Australia is giving Fiji uncrewed Bluebottle surface drones, Australian-built 7.4-metre craft that can remain at sea for *up to six months* and use artificial intelligence to flag suspicious activity. Fiji's Defence Minister **Pio Tikoduadua** said the country's waters are too vast to monitor: "We don't even have eyes on it, let alone have the capability to affect anything on it." Fiji's navy operates just two large patrol boats, both Australian-donated Guardian-class vessels.

per ABC Politics: "Bluebottle drones that never sleep level playing field in Pacific drug war"

PACIFIC-POLITICS

Former Kiribati president calls PIF-Israel partnership indefensible

Anote Tong, former president of Kiribati and chair of the Pacific Elders' Voice, said the argument that religious affinity justifies the Pacific Islands Forum's decision to make Israel a sectoral partner "does not stack up." The group, made up of former prime ministers, presidents, diplomats and academics, says the move conflicts with the region's commitments to human rights, self-determination and international law, citing a Middle East fact-finding report by the Elders Group that included former New Zealand prime minister Helen Clark.

per RNZ Pacific: "Former Kiribati president says Pacific Islands Forum-Israel partnership not 'morally defensible'"

OVERNIGHT

AU-DEFENSE

Australia weighing purchase of Iron Dome missiles · AFP

Australia is considering buying Iron Dome missiles, The Australian Jewish News reports via AFP. The report gives no cost, quantity or timeline, and no Australian minister has confirmed the purchase.

AU-FOREIGN-POLICY

Defence chief says China's buildup has created pressure in Southeast Asia · The Diplomat

Australia's defence chief said China's military buildup has created pressure across Southeast Asia, The Diplomat reports. The remarks came as Beijing accused Manila of obstructing its attendance at this week's ASEAN Defense Ministers' Meeting in Cebu.

AU-DEFENSE

ADF chief rules out further action over SAS command failures · ABC Politics

Admiral **Mark Hammond** ruled out further disciplinary action against senior commanders over leadership failures linked to alleged war crimes in Afghanistan, after partial publication of a secretive inquiry into Special Forces culture. The inquiry found the SAS chain of command had been effectively inverted and that commanders overlooked warning signs, including a growing number of enemy casualties.

AU-POLITICS

Experts warn AI copyright changes could breach the constitution · Guardian AU politics

Altering copyright law to let AI companies scrape music, books and journalism could trigger a constitutional breach and compensation claims from rights holders worldwide, Coalition senators and the recording industry warned. Constitutional lawyer **Anne Twomey** said scraping copyrighted

material could "potentially" amount to an acquisition of property by government depending on drafting, and the attorney general's department said it was "extremely alive" to the issue.

AU-POLITICS

Antisemitism envoy issues updated blueprint before royal commission findings · ABC Politics

Special Envoy to Combat Antisemitism **Jillian Segal** released a refreshed plan proposing a probe into healthcare, more scrutiny of publicly funded arts organisations and an external watchdog for the ABC and SBS. The Antisemitism and Social Cohesion Royal Commission is expected to hand down its findings within weeks.

STAT OF THE DAY

$550,000

Staffing package awarded to three Australian ministers

Albanese awarded the package despite crossbench demands that he relinquish his unilateral ministerial staffing powers, as reported by the Sydney Morning Herald today.

SMH Federal Politics

PACIFIC WIRE

FIJI · RNZ PACIFIC

Bainimarama granted travel to New Zealand with ailing wife

Fiji's High Court granted former prime minister **Frank Bainimarama** permission to travel to New Zealand with his wife, bedridden for weeks with a spinal infection, temporarily suspending his travel restrictions and stop departure orders. Prosecutors had opposed the variation, citing delays to his two pending trials.

SOLOMON ISLANDS · RNZ PACIFIC

Solomon Islands PM Wale recovering in Australia, asks public for prayers

Solomon Islands Prime Minister **Matthew Wale** was referred to Australia on Wednesday for further medical treatment after being admitted to the National Referral Hospital in Honiara, RNZ Pacific reports. Wale thanked opposition leader **Manasseh Sogavare** for his well wishes; it is unclear when he will return.

COOK ISLANDS · COOK ISLANDS NEWS

Cook Islands presses regional unity against transnational crime

Cook Islands delivered a pointed message at the inaugural United States-Pacific Islands Conference of Police Ministers in Los Angeles: transnational crime does not respect borders and no Pacific country can tackle it alone, Cook Islands News reports.

FIJI · FBC NEWS (FIJI)

Unity Fiji leader questions public readiness for December 9 referendum

Unity Fiji leader **Savenaca Narube** challenged the Coalition Government's timetable for a constitutional referendum set for December 9, arguing the will of the people must take precedence over the government's determination to proceed, FBC News reports.

PAPUA NEW GUINEA · PNG POST-COURIER

Police investigate suspected explosives shipment at Port Moresby wharf

Police are investigating a suspected shipment of explosives into a Port Moresby wharf, with four Chinese nationals detained in connection with the discovery, Post Courier reports.

PAPUA NEW GUINEA · PNG POST-COURIER

Marape urges peace and economic independence in Southern Highlands

Prime Minister **James Marape** urged Southern Highlands Province to embrace peace, unity and economic independence at a ceremony unveiling a monument at Walume Station, Post Courier reports.

PAPUA NEW GUINEA · PNG POST-COURIER

NBC restores local radio broadcasts in Western Province

Papua New Guinea's National Broadcasting Corporation, partnering with the PNG Sustainable Development Program, restored local radio broadcasting in Western Province through a K1.8 million investment to upgrade transmission infrastructure, Post Courier reports.

NEW ZEALAND

No significant New Zealand developments in the past 24 hours.

CANBERRA POLITICS

AU-POLITICS · SMH FEDERAL POLITICS

Albanese awards ministers extra staff despite crossbench pressure

Anthony Albanese awarded three ministers a staffing package worth up to *$550,000* even as **Pauline Hanson** and other crossbenchers call on him to give up his unilateral staffing powers. The move reopens debate over prime ministerial patronage ahead of the next sitting fortnight.

AU-POLITICS · SMH FEDERAL POLITICS

Turnbull says Coalition opposition to EU trade deal is a mistake

Former prime minister **Malcolm Turnbull** said the Coalition is making a huge mistake opposing the EU trade deal, arguing middle powers such as Australia must build partnerships with each other because the United States is unlikely to snap back to multilateralism after the Trump era.

AU-POLITICS · AFR POLITICS

Profile traces James Paterson's rising influence in the Coalition

The Australian Financial Review profiles Shadow Minister for Defence **James Paterson**, 38, describing him as a key confidant to Victorian Opposition Leader Jess Wilson and a quiet power broker inside the federal Coalition.

AU-POLITICS · THE AUSTRALIAN

Economists call for independent audit of Labor's budget

High government spending has prompted economists to call for an independent audit of Labor's budget, The Australian reports, adding pressure on Treasurer **Jim Chalmers** ahead of the December budget update.

BUSINESS AND ECONOMY

TRADE-ECONOMY · FINANCIAL TIMES

Financial Times asks if Australia's push on house prices has gone too far

The Financial Times examines whether Australia's policy push to lower house prices has gone too far. The piece is paywalled, and today's summary carries no further detail beyond the headline.

TRADE-ECONOMY · FBC NEWS (FIJI)

Fijian Holdings posts profit but flags rising debt and impairment

Fijian Holdings Limited reported a profit before tax of *$67 million* for the 2026 financial year, FBC News reports, but flagged an impairment tied to Fletcher Higgins Fiji Limited and a 19 percent rise in Group borrowings to $470.7 million.

PRIMARY DOCUMENTS

COMMUNIQUE · PIF COMMUNIQUES

Ukraine gains sectoral partner status in the Pacific Islands Forum

Papua New Guinea's Post Courier reports Ukraine has been granted sectoral partner status in the Pacific Islands Forum, expanding a roster of partners that already includes Israel, whose addition has drawn sustained criticism from Pacific civil society and the Pacific Elders' Voice.

UPCOMING

NOV 6

Bougainville schools close early for the 2026 term

El Nino driven dry conditions are forcing the Autonomous Region of Bougainville to end Term 4 classes early, underscoring humanitarian strain on Pacific education systems.

NOV 7

New Zealand general election

The vote decides whether Christopher Luxon's National-led coalition with ACT and NZ First continues, shaping New Zealand's defence and foreign policy settings.

NOV 9

COP31 climate negotiations open, Australia presiding, running to November 20

Pacific climate and health groups are pressing Canberra to secure a clear fossil fuel transition and debt-free climate finance given Australia's dual identity as a Global North economy and a Pacific neighbor.

DEC 9

Fiji constitutional referendum

Unity Fiji's Savenaca Narube has publicly questioned whether the public is ready for the vote on the government's preferred timetable, per FBC News.

THE WIRE

PACIFIC-DIPLOMACY

DEVPOLICY BLOG

Devpolicy's October wrap tracks Pacific climate finance gaps and Coalition aid cuts

Devpolicy Blog's monthly aid wrap flags Pacific climate finance shortfalls and Coalition proposed aid cuts alongside a developing race for the next WHO chief, compiled by Development Policy Centre staff under the editorial responsibility of Cameron Hill.

AU-DEFENSE

ASPI STRATEGIST

ASPI warns AI is no substitute for sturdy cyber defence

The Australian Signals Directorate urges organisations to embrace AI for cyber defence in its Annual Cyber Threat Report 2025-26, but the ASPI Strategist warns that "sprinkling AI pixie dust" around the place does not automatically provide cyber defence.

AUKUS

ASPI STRATEGIST

ASPI says Ghost Shark disclosure signals wartime options to adversaries

Australia's disclosure of Ghost Shark uncrewed submarine capabilities sent a warning to potential adversaries about the country's wartime options, the ASPI Strategist argues, while also demonstrating technological progress to AUKUS partners and allies.

PACIFIC-POLITICS

FBC NEWS (FIJI)

Chaudhry accuses government of shifting power to elites via Senate return

Former prime minister **Mahendra Chaudhry**, leader of the Fiji Labour Party, accused the Coalition Government of transferring political power from ordinary Fijians to an elite group through a proposed return of the Senate, questioning why an unelected body should dominate the legislature.

FIJIVILLAGE

CDD poll puts PAP ahead with 27.5 percent, Rabuka most preferred PM

A CDD opinion poll reported by Fijivillage puts PAP ahead with *27.5 percent* support, while **Sitiveni Rabuka** remains the most preferred prime minister among those surveyed.

FIJIVILLAGE

Debate continues over 35 or 36 MP threshold for Constitution Bill

Fijivillage reports uncertainty over whether the Constitution Amendment Bill needs the support of 35 or 36 MPs to pass, as parliament weighs the threshold ahead of the planned referendum.

PNG POST-COURIER

North Fly district receives 223 tonnes of El Nino relief supplies

Papua New Guinea's North Fly District in Western Province has received *223 tonnes* of El Nino relief supplies via air and river, with cargo arriving at Tabubil and Aiambak, Post Courier reports.

CSIS Australia Chair

AUSTRALIA DAILY BRIEF

Washington, D.C.

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